

Chapter 4

TIME AND PRICE CONSIDERATIONS FOR THE FINAL TOP

As Chapter 3 of *Elliott Wave Principle* demonstrates, Fibonacci mathematics govern growth and decay patterns in nature. The Wave Principle reveals that they govern man's patterns of social progress and regress as well. The stock market is the record of man's own evaluation of his progress and regress, so Fibonacci relationships show up in its form. Those unfamiliar with the Fibonacci sequence (1, 1, 2, 3, 5, 8, 13, 21, 34, 55, 89, 144...) or the Fibonacci ratio (ϕ , or .618) should refer to the summary in Appendix A.

FIBONACCI TIME RELATIONSHIPS

Wave *form* (as covered in Chapter 2) provides the most solid basis for forecasting, and *price* relationships the next. Elliott's guidelines for estimating the *time* of a future market turn are the least reliable of the three. For this reason, time forecasts should be taken for a little more than educated guessing. Despite the analysis in this chapter, if the Dow were to continue rising in coming years, it would not thereby violate any rules of the Wave Principle, which pertain principally to pattern, not to time. Despite this caveat, it is nevertheless sometimes enlightening to explore the time relationships that appear to pertain to the market's situation.

Markets frequently turn at a Fibonacci number of time units from a prior turning point. Chapter 4 of *Elliott Wave Principle* gives a number of examples. Unfortunately, this fact alone is insufficient for generating a market opinion, because the permutations are often numerous. The issue is not as complex as one might suppose, though, because all natural time units are themselves loosely connected by Fibonacci ratios: 1 year is just a bit less than 13 months, a bit less than 55 weeks and a bit less than 377 days. Thus, a Fibonacci duration in one natural time unit is close to a Fibonacci duration in all the others. (The possible reason for these relationships will be explored in our next book.) There are times when a substantial number of Fibonacci time measurements *cluster* to yield the same